

CLEAR?

WEEK 4-2

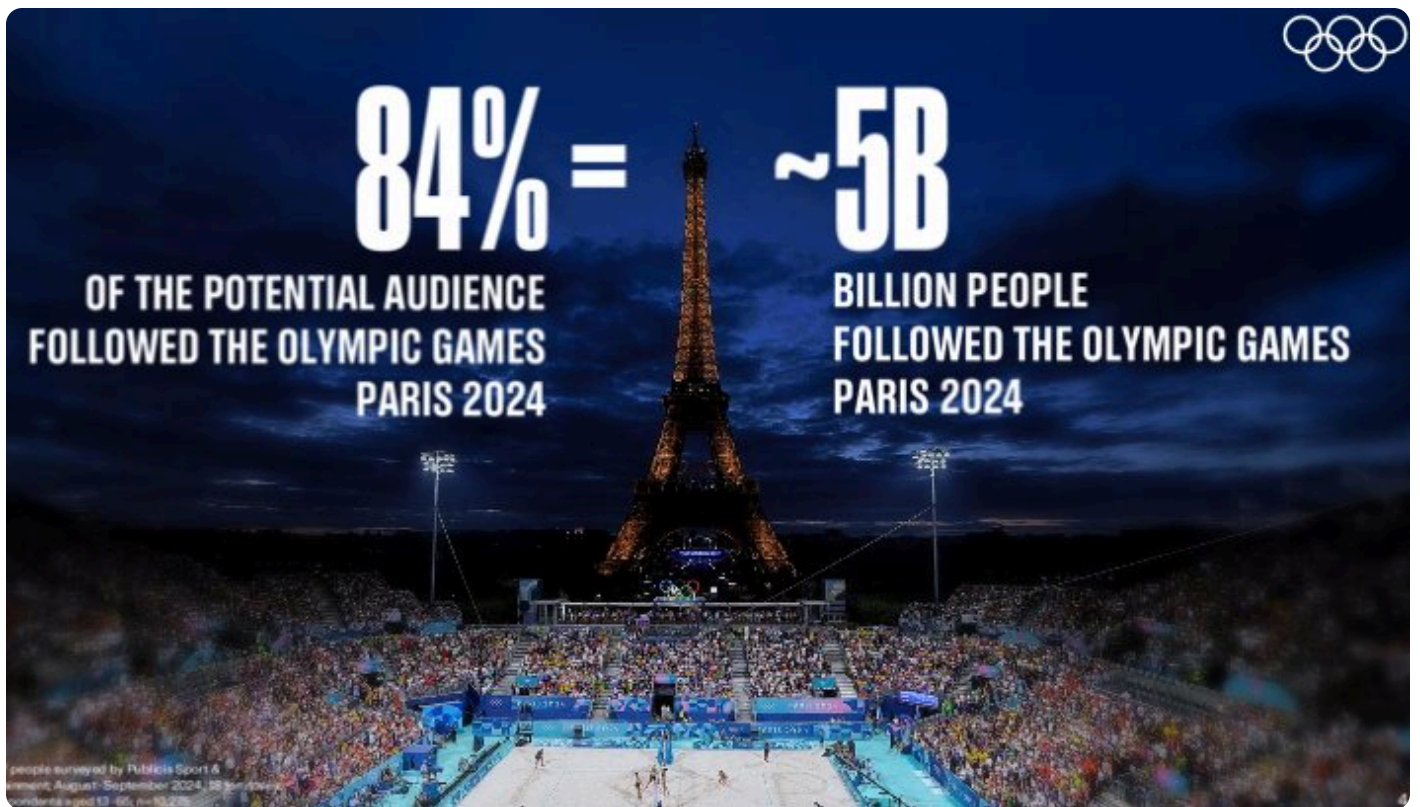
BMW'S OLYMPIC SPONSORSHIP STRATEGY



SPM261 Intro to Sport Management · Arcadia University

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THE REACH



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WATCH

THE OLYMPIC PARTNER PROGRAM

OLYMPIC GAMES

youtube.com/watch?v=vy6FivZHRjQ

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OLYMPIC SPONSORS (TOP)

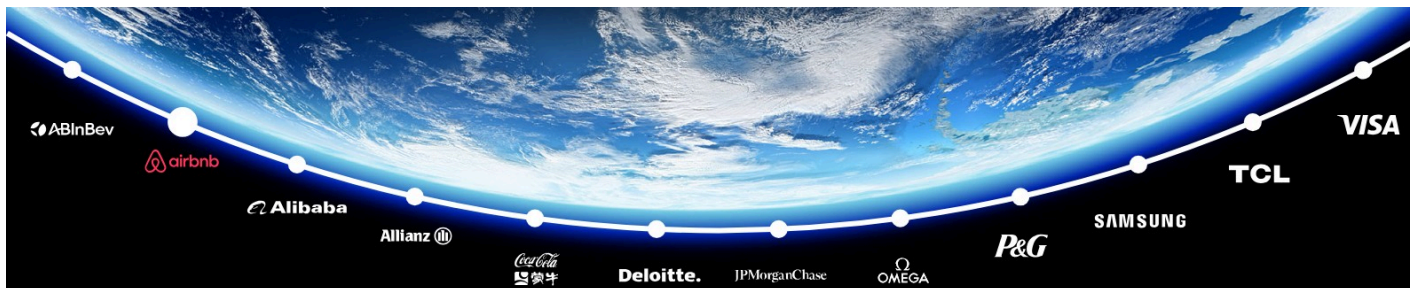
The Olympic Partner (TOP) Program is the IOC's worldwide sponsorship tier. Its 14 current partners hold exclusive global marketing rights across every Olympic Games.

olympic.org/sponsors



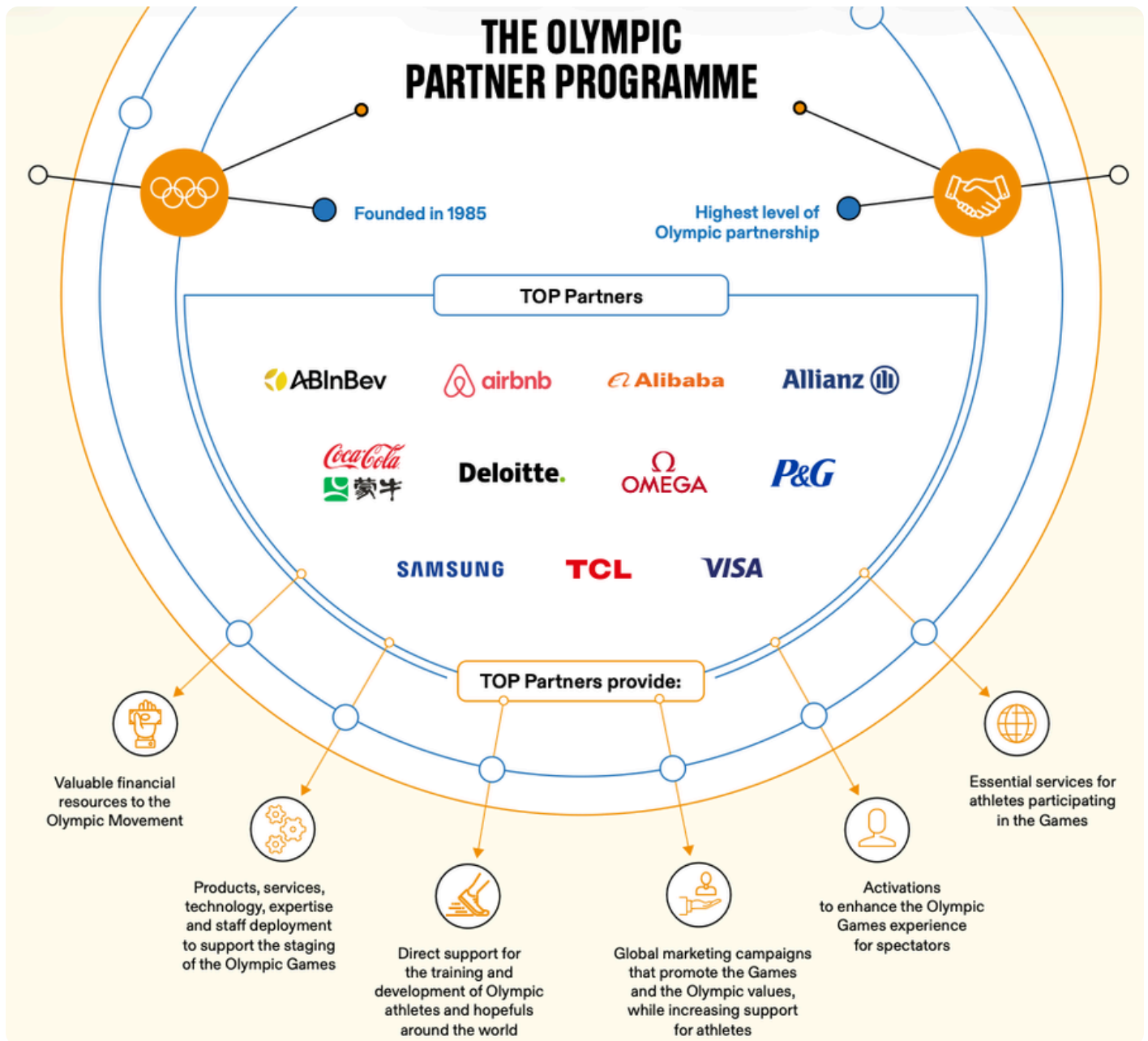
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“Worldwide Olympic Partnership — the highest level of Olympic sponsorship. The TOP Program provides each Worldwide Olympic Partner with **exclusive global marketing rights and opportunities.**”



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HOW TOP WORKS



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NO LONGER WORLDWIDE PARTNERS



BRIDGESTONE

2014 – 2024



TOYOTA

2015 – 2025

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ALIBABA GROUP

NEW PARTNER

Worldwide Olympic Partner through 2028

New partner of TOP IX, which starts in 2017

Why? — Beijing hosted the 2022 Winter Olympics

A class poll appears below – cast your vote.



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HOW MUCH DO BUSINESSES PAY TO BE AN OFFICIAL OLYMPIC SPONSOR –
ESPECIALLY A WORLDWIDE PARTNER?

\$0M

on average, for 4 years

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WHICH COMPANY HAS BECOME THE MOST RECENT OLYMPIC PARTNER — AND HOW MUCH DID THEY PAY?

AIRBNB

\$500 million / 9 years

2020 – 2028

[businessinsider.com – Airbnb wins reported \\$500 million partnership for the 2020 Tokyo Olympics](https://www.businessinsider.com/airbnb-wins-reported-500-million-partnership-for-the-2020-tokyo-olympics)

ALLIANZ

8 years / no financial info

2021 – 2028 · approx. \$50M per year

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WHICH COMPANY HAS BECOME THE MOST RECENT OLYMPIC PARTNER — AND HOW MUCH DID THEY PAY?

Deloitte

\$1.3 billion / 8 years (2022 – 2028)

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SINCE JAN 2024

**FIRST TIME A BEER
COMPANY HAS BEEN A
GLOBAL SPONSOR OF THE
OLYMPICS**

Why? Shared value?

CORONA

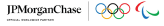


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DISCUSSION

Why is JPMorganChase investing?

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First ever
global
banking
partner

LA 2028
Olympic
and
Paralympic
Games &
French
Alps 2030

Plan to
hire 100
additional
bankers
across
Southern
California

Already
has 5
million
banking
customers
and
600,000
small
business
clients in
LA

CNBC

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DISCUSSION

Which company do you think has the longest partnership with the Olympics?

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COCA-COLA

The Coca-Cola Company is the longest continuous sponsor of the Olympic Games.

Their relationship started way back in the 1928 Amsterdam Olympics.

A freight ship arrived in Amsterdam carrying the US Olympic Team and 1,000 cases of Coca-Cola. Bottles were sold at kiosks around the Olympic stadium and rowing course.



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TOP PROGRAM GROWTH

OLYMPIAD	GAMES	PARTNERS	PARTICIPATING NOCS	REVENUE (USD MILLIONS)
1985–1988	Calgary / Seoul	9	159	96
1989–1992	Albertville / Barcelona	12	169	172
1993–1996	Lillehammer / Atlanta	10	197	279
1997–2000	Nagano / Sydney	11	199	579
2001–2004	Salt Lake City / Athens	11	202	663
2005–2008	Torino / Beijing	12	205	866
2009–2012	Vancouver / London	11	205	950
2013–2016	Sochi / Rio	12	205	1,003
2017–2020/21**	PyeongChang / Tokyo	14–15	205	2,295
2021–2024	Beijing / Paris	15	206	3,040

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REVENUE SOURCES VS. OCOG* SPENDING (USD millions)

Revenue sources

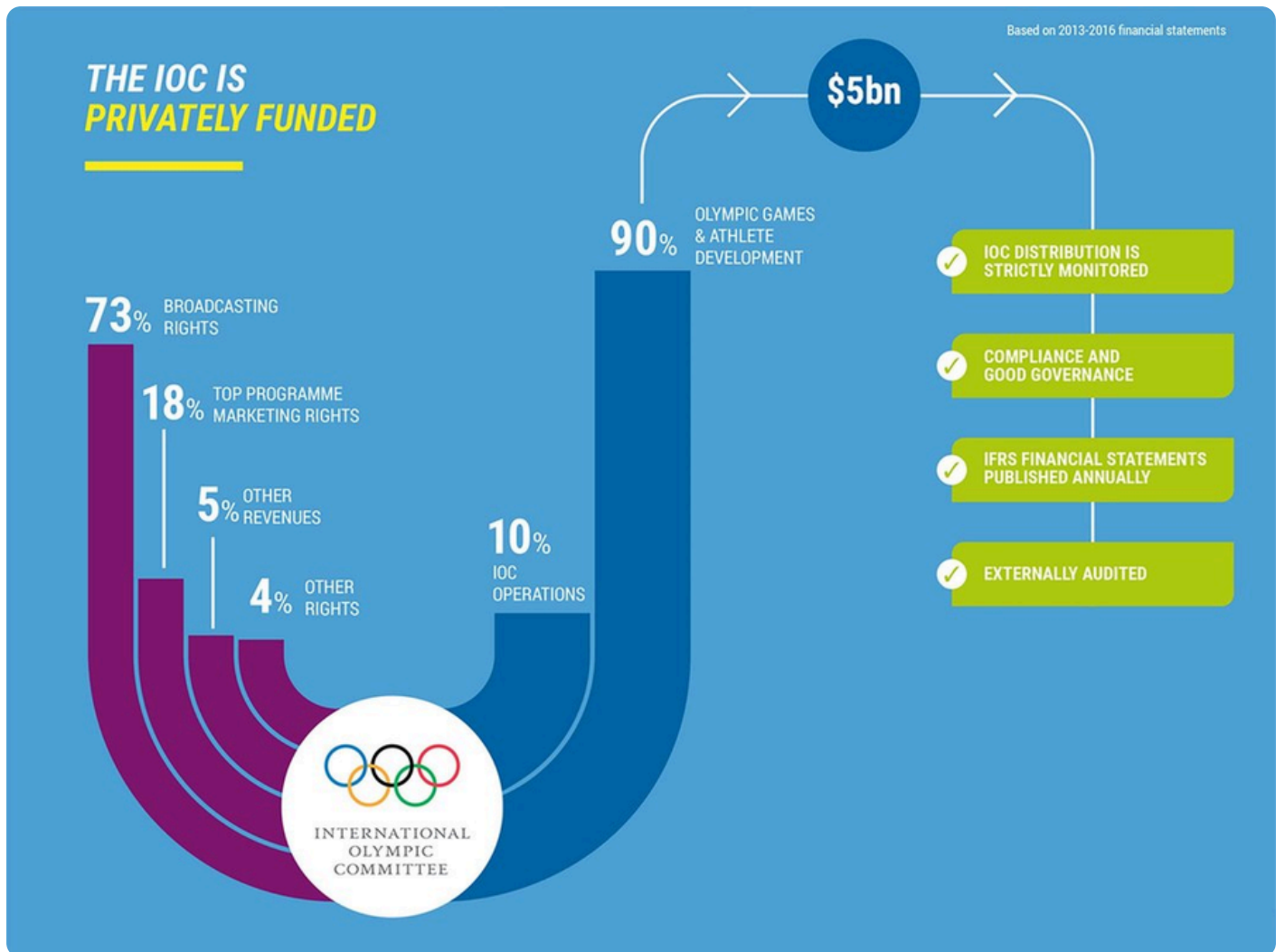
SOURCE	1993-96	1997-00	2001-04	2005-08	2009-12	2013-16	2017-20/21	2021-24
Broadcast	1,251	1,845	2,232	2,567	3,850	4,161	4,544	4,706
TOP Programme	279	579	663	866	950	1,003	2,295	3,040
Total	1,530	2,424	2,895	3,433	4,800	5,164	6,839	7,746

OCOG* spending

SOURCE	1993-96	1997-00	2001-04	2005-08	2009-12	2013-16	2017-21	2021-24
Domestic Sponsorship	534	655	796	1,555	1,838	2,037	3,732	3,177
Ticketing	451	625	411	274	1,238	527	146	1,304
Licensing	115	66	87	185	170	74	131	242
Total	1,100	1,346	1,294	2,014	3,246	2,638	4,009	4,723

*OCOG – Organizing Committee for the Olympic Games

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Where IOC revenues go



Olympic Solidarity



IOC's single

biggest

BROADCAST RIGHTS
broadcaster.

21 / 37

(Ex: BBC,

CBC,

Eurosport/Discovery)

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2021–32:

\$7.65

billion,

extended

to 2036

for

another

\$3 billion

2020

Tokyo:

\$1.45

billion

2024

Paris:

\$1.69

billion

Roughly

more than

50% of

the IOC's

worldwide

broadcast

rights

NBC has

its own

designated

zones and

adds its

own

cameras

to its

coverage

(nearly

100) —

US-

focused

coverage

NBC SPORTS

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CATEGORY EXCLUSIVITY

“The right of a sponsor to be the only company within its product or service category associated with the sponsored property.”

IEG, 2009

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WHY IS CATEGORY EXCLUSIVITY IMPORTANT?

Preclude any of the sponsor's competitors from associating with the same property.

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COMMERCIALS

HOMES WITH POOLS

AIRBNB

youtube.com/watch?v=dKiF7aFyvhy

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COMMERCIALS

FUTURE SPORTS HEROES

ALLIANZ DIRECT

youtube.com/watch?v=cB9pexddFgg

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COMMERCIALS

COCA-COLA OLYMPICS

COCA-COLA

youtube.com/watch?v=ye0wNC33MXE

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Read the 'BMW Deal' article in the Module 4 Lecture Slide & Readings

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BMW & TEAM USA

In 2010, BMW signed a 6-year deal with the USOC worth \$4 million annually.

Gained extensive media coverage.

Built a new racing wheelchair for the U.S. Paralympic team in 2016, as well as a bobsled in 2014.



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In 2012, BMW sold **6,000 additional cars** that year.

Partnership with USA Swimming through 2020, and USA Bobsled & Skeleton through 2022.

Individual sport-governing-body deals are far cheaper but don't allow BMW to call itself an Olympic Sponsor or use the rings.

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THE DOLLAR BREAKDOWN

FEDERATION	ANNUAL	TERM	TOTAL
USOC	\$4,000,000	× 6 years	\$24,000,000
USA Swimming	\$500,000	× 6 years	\$3,000,000
USA Bobsled & Skeleton	\$500,000	× 6 years	\$3,000,000

Mid six figures, annually.

Why swimming and bobsled?

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USA SWIMMING – PERFORMANCE TECHNOLOGY



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NOT A WORLDWIDE PARTNER?



Individual federation deals

vs.

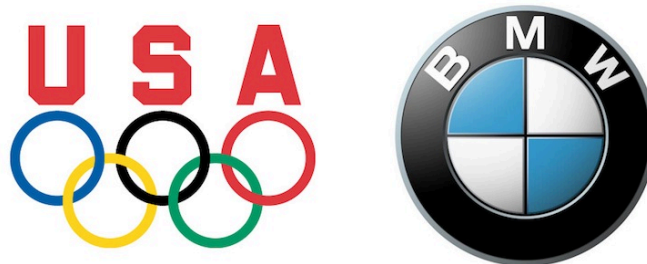


Worldwide Olympic Partner (2015–2025)

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STRATEGY?

TV commercials via NBC — if Toyota does not buy category exclusivity.



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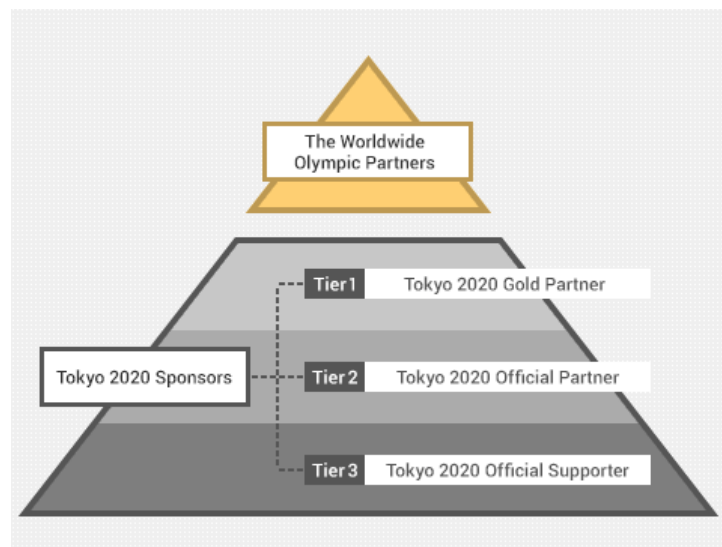


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SPONSORSHIP STRUCTURE

Beyond the Worldwide TOP Program, host organizing committees run their own domestic sponsor tiers — here, Tokyo 2020's.

Region of sponsorship is limited to Japan. Terms and conditions of sponsorship differ according to the category.

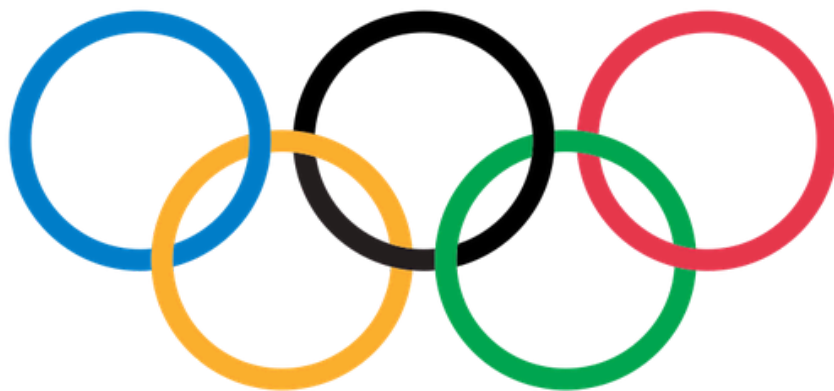


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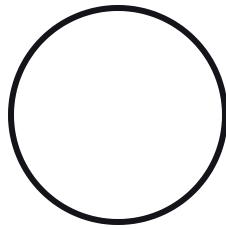
FUTURE OLYMPIC & PARALYMPIC HOSTS



MILANO CORTINA
2026



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QUESTIONS?